PRIME HOSPITALITY BUSINESS GROUP · SIYONAT BRANCH

Hotel Food & Beverage Cost Control

The Plain English Guide & Daily Crash Course

How to Stop Food & Drink Waste, Catch Mistakes, and Protect Hotel Profits

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Module 1: Why Food & Drink Cost Control is Different (The Basics)

In a normal supermarket, inventory is easy. If the owner buys 100 bottles of shampoo for 200 Birr each and sells them for 300 Birr, counting stock is simple: every bottle sold removes exactly 200 Birr from the storeroom shelf.

A hotel kitchen and bar are completely different because food changes shape:

- You buy a whole cow carcass or raw beef leg from the butcher.
- The kitchen trims off fat and bones, cuts the prime meat into cubes for *Special Tibs*, and minces the rest for *Kitfo*.
- The cook seasons the meat with onions and spiced butter (*Niter Kibbeh*), cooks it on a hot stove, and serves it on large rolls of *Injera*.
- During the day, cooks eat their staff lunch, a manager gives a free plate to a VIP guest, and waiters sell the rest on 170 different buttons on the CNet cash registers.

THE 4 BIG HOLES WHERE HOTEL MONEY DISAPPEARS

1. **Delivery Tricks & Sneaky Prices:** The delivery truck brings 47 kg of meat instead of the 50 kg you ordered. Or worse, the vendor quietly charges 1,500 Birr on the paper bill instead of the 1,400 Birr you agreed to pay.
2. **Cooking by Guesswork (Heavy Hands):** The menu recipe says 200 grams of beef per order. But the cook scoops by hand instead of using a scale and serves 280 grams. That gives away 40% of your meat for free on every single plate!
3. **Unrecorded Trash & Secret Freebies:** Meat spoils in the fridge, an order gets burnt, or someone feeds their friend without a receipt. If nobody writes it down, management cannot tell the difference between bad cooking and stealing.
4. **Bar Stealing & Free Pouring:** A bartender pours double shots to get bigger tips, or takes cash from a customer and puts it in their pocket without ringing it into the cash register.

1.1 How the Math Works in Plain Words

Cost control tracks exactly what entered the building, what was sold, and what is still on the shelves. Here is the universal formula written in everyday words:

Step 1: How much stock did we actually use up?

> What was on the shelves at the start of the week (Opening Stock)
> + What we bought from suppliers (New Deliveries)
> + Items transferred in from another store
> - Items transferred out to another store
> - What is still on the shelves at the end (Closing Stock)
> = **Total Stock Used (Gross Consumption)**

Step 2: What was the real cost of food sold to guests?

> Total Stock Used
> - Staff Duty Meals (this is an employee cost, not food waste)
> - Free VIP / Manager Comps (this is a marketing cost)
> = **True Cost of Food & Drinks Sold**

Step 3: What is our Cost %?

> **Cost %** = (True Cost ÷ Sales on Cash Register) × 100

WHAT DOES "30% FOOD COST" ACTUALLY MEAN IN BIRR?

It means: **For every 100 Birr a guest pays for a meal, 30 Birr went to buy raw ingredients.**
The remaining **70 Birr** is what pays staff salaries, hotel electricity, water, rent, tax, and hotel profit. If your Food Cost climbs to 45%, the hotel loses money!

THE GOLDEN LAW: NEVER MIX FOOD AND DRINK NUMBERS TOGETHER!

Food Cost % and Drink Cost % must **never** be blended into one combined number.

- **Drinks Target: 18% – 22%** (Very cheap to serve: open a beer bottle or pour a glass of whiskey).
- **Food Target: 30% – 34%** (Costs more: raw meat shrinks, vegetables spoil, cooks trim bones).

If you combine them into one number, a busy bar selling lots of beer will hide thousands of Birr of meat theft in the kitchen! Always keep Food and Drinks separate.

1.2 How the Computer Calculates Average Price (Fair Moving Average)

Food prices in Addis Ababa change every week. If beef costs 1,200 Birr today and 1,400 Birr next week, what does a plate of tibs cost? The system uses the **Fair Moving Average**:

- You have 10 kg of beef in the freezer bought at **1,200 Birr/kg** (Value = 12,000 Birr).
- The delivery truck arrives with 10 kg more at **1,400 Birr/kg** (Value = 14,000 Birr).
- You now have 20 kg total, worth 26,000 Birr.
- The computer calculates the new fair price: `26,000 Birr ÷ 20 kg = 1,300 Birr per kg`.
- From that exact moment, whenever a cook prepares a dish, the system deducts the meat at 1,300 Birr. Simple, automatic, and fair!

Module 2: Setting Up Your System Step-by-Step (Clean Slate)

When you start with a clean slate (zero sample items), you enter your real hotel data in the **Setup** menu. Here is how each screen works:

2.1 Stores & Outlets (`/setup/stores`)

A "Store" is any room where food, drinks, or supplies are kept. The system divides Prime Hospitality into 4 clear rooms:

STORE CODE	STORE NAME	WHAT IS IT?	WHERE DOES IT GET ITS STOCK?
`MAIN`	Central Store (Warehouse)	The main receiving warehouse	Direct from delivery trucks (Addis Abattoir, BGI, Merkato suppliers).
`KITCHEN`	Main Kitchen	Where cooks prepare guest meals	Receives stock from `MAIN` using internal transfer requests.
`BAR`	Main Bar	Where bartenders serve drinks	Receives crates of beer, wine, and liquor from `MAIN`.
`PREP`	Prep & Pastry Kitchen	Large batch cooking area	Takes raw flour and butter from `MAIN` to bake Injera and prep sauces.

2.2 Categories (`/setup/categories`)

Categories group similar items together. Every category belongs to one of three kinds:

- **Food:** Fresh Meat, Vegetables & Fruits, Dairy & Eggs, Grains & Flour, Spices & Oils.
- **Beverage:** Bottled Beer & Draught, Soft Drinks & Water, Wine & Spirits, Coffee & Tea.
- **Supplies:** Takeaway boxes, napkins, straws, bar toothpicks, kitchen cleaning chemicals.

2.3 Ingredients: How You Buy It vs. How You Cook It (`/setup/items`)

This is where many hotels make costly mistakes. You rarely buy food in the same size you cook it. The system solves this with 3 simple fields:

FIELD NAME	WHAT IT MEANS IN PLAIN WORDS	REAL EXAMPLE
Inventory Unit (Kitchen Unit)	How the kitchen or bar uses, weighs, or counts the item.	`Kg` for Teff; `Bottle` for Beer; `Liter` for Milk.
Purchase Unit (Buying Unit)	How the supplier packs and delivers the item.	`Bag` (50 kg); `Crate` (24 bottles); `Box` (12 packs).
Pack Size (Pack Factor)	How many kitchen units are inside 1 buying package.	**50** (1 bag has 50 kg Teff); **24** (1 crate has 24 bottles of St. George).
Prep Waste % (Shrinkage)	The parts thrown in the trash when peeling or trimming.	**15%** for Onions (skins and roots); **0%** for sealed bottled soda.
ABC Priority Rule	Which items need strict daily counting vs monthly counting.	`Class A` Beef Fillet, Whiskey (Count daily). `Class B` Beer, Cheese, Cooking Oil (Count every 2 weeks). `Class C` Salt, Toothpicks, Napkins (Count once a month).

2.4 Suppliers & Agreed Prices (`/setup/suppliers`)

Register each vendor (*Addis Abattoir*, *BGI Ethiopia*, *Merkato Grain Traders*). Click on any supplier to open their **Price Agreement**:

- **Contract Price:** The price you agreed to pay in Birr (e.g., 6,500 Birr per 50kg Bag of Teff).
- **Tax (VAT):** 15% VAT for commercial drinks and processed foods, or 0% for basic farm grains.
- **Minimum Order:** The smallest order the vendor will deliver (e.g., minimum 5 crates).
- **Delivery Days:** How many days it takes them to deliver after you place the order.

2.5 Recipes & Sub-Recipes (`/setup/recipes`)

Recipes tell the computer what ingredients are used when a guest orders food. There are two kinds of recipes:

- **1. Sub-Recipes (Batches Prepared in Advance):** Food your kitchen preps in big tubs before service:
  Example: **Injera Batch (100 Pieces):** Uses 30 kg Teff flour + yeast + water.
  Example: **Spiced Butter (Niter Kibbeh - 5 Kg):** Uses 5 kg raw butter + onions + garlic + ginger + spices.
- **2. Menu Dish Recipes (What the Guest Orders on the Menu):**
  Example: **Special Tibs** uses:
  - 0.250 kg Beef Fillet (250 grams)
  - 0.080 kg Red or White Onion (80 grams)
  - 0.030 kg Spiced Butter / Niter Kibbeh (30 grams)
  - 2 pieces of Injera (from the prep batch above)

2.6 Connecting Cash Register Buttons (`/setup/pos-map`)

When your CNet cash registers print a guest receipt, every button has an ID number (like `101` for "SPECIAL TIBS").

In this screen, link button `101` to your "Special Tibs" recipe. Whenever you add a new item to your CNet menu, it will appear here under **Unmapped Items** so you can connect it with one click.

2.7 Par Levels: Never Running Out of Food (`/setup/stores/[id]`)

In every kitchen and bar, you set two safety numbers for every ingredient:

> **Minimum Stock (The Danger Line):** The lowest stock allowed before you risk running out.
> **Maximum Target (The Ceiling):** The ideal amount to hold for a busy weekend without wasting space or letting food spoil.
>
> *Real Example:* Main Kitchen holds **Minimum = 10 kg** and **Maximum = 30 kg** of Beef Fillet.
> If the kitchen has **12 kg** left in the morning, clicking ⚡ **Auto-Fill** automatically requests exactly **18 kg** (30 - 12) from the Central Store!

Module 3: Daily Step-by-Step Workflows (A Day in the Life)

Here is how the hotel staff runs the system during a normal 24-hour day:

Workflow 1: Receiving Morning Deliveries (Storekeeper)

1. The delivery truck arrives at the loading dock with goods and a paper invoice.
2. The Storekeeper logs in, opens **Purchases** (`/purchases`), and clicks **+ New Delivery (GRN)**.
3. **Physical Scale Rule:** Put the boxes on the physical scale! Never trust the paper invoice. If the paper says 50 kg but the scale says 47 kg, enter 47 kg.
4. Type in the supplier name, invoice number, weighed quantity, and price.
5. **Price Check Warning:** If the supplier raised the price by more than 2% above the agreed contract, the screen shows a bright warning that requires the Cost Controller's approval.
6. Click **Book Delivery**. The goods are added to Central Store and the average price updates automatically.

Workflow 2: Moving Stock to Kitchen & Bar (Chef & Storekeeper)

1. Before lunch prep, the Chef opens **Requisitions** (`/requests`).
2. Selects **Main Kitchen** and clicks ⚡ **Auto-Fill from Par Stock**.
3. The computer checks what is low and fills in the exact amounts needed. The Chef reviews and clicks **Submit Requisition**.
4. The Storekeeper opens `/requests`, gets the items from the warehouse shelves, and clicks **Fulfill & Issue Stock**.
5. Warehouse stock goes down, kitchen stock goes up. No money is lost; it just moved rooms.

Workflow 3: Cutting Meat & Calculating Cuts (Chef)

1. The hotel buys a 100 kg beef carcass for 80,000 Birr (800 Birr per kg).
2. The butcher breaks it down in the meat prep room:
   - **Prime Steaks:** 12 kg Tenderloin, 18 kg Ribeye, 20 kg Sirloin, 30 kg Minced Meat.
   - **Extra Parts:** 15 kg Soup Bones (worth 150 Birr/kg = 2,250 Birr) + 5 kg Fat (worth 200 Birr/kg = 1,000 Birr).
3. The Chef opens **Production** (`/production`) and types in the numbers.
4. **Bone & Fat Credit:** The system takes away the 3,250 Birr value of the bones and fat from the 80,000 Birr purchase. It divides the remaining 76,750 Birr fairly across the steaks so your menu recipe costs are 100% accurate!
5. Click **Save & Execute**. The raw carcass is removed from inventory and the prime cuts are added to the kitchen stock.

Workflow 4: Recording Burnt, Dropped, or Spoiled Food (Kitchen & Bar)

1. If a cook burns a pan of tibs, or a bartender drops a bottle of gin, they open **Waste** (`/waste`).
2. Select the room, the item or recipe, the amount lost, and pick the reason (*Burnt, Spoiled / Expired, Dropped / Broken*).
3. The Cost Controller reviews the waste log and clicks **Approve Write-off**.
4. *Why this is important:* If staff hide burnt meat and don't write it down, the computer thinks someone stole it. Writing it down keeps honest staff safe and shows the Chef where training is needed.

Workflow 5: End of Day / Night Audit — Entering Sales (Cost Controller)

1. At midnight or closing time, export the daily sales file from the CNet cash registers (`cnet_sales_export.xlsx`).
2. The Cost Controller opens **Sales & Depletions** (`/sales/eod`).
3. Drag and drop the Excel file into the box. The system checks that the money matches the register receipts (Total Sales, 15% VAT, 10% Service Charge).
4. Click: **"Deduct Ingredients from Stock (Explode Recipes)"**.
5. The computer calculates all 1,200 dishes and drinks sold, and automatically subtracts the exact grams of beef, onions, butter, and beer bottles from the kitchen and bar shelves!

Workflow 6: Counting Stock on Shelves (Auditors & Supervisors)

1. Once a week or month, auditors open **Physical Counts** (`/counts`) and click **+ New Count Sheet**.
2. Turn on **Blind Count Mode** and click **Print Sheet**.
   What is a Blind Count? The printed paper hides what the computer expects. If staff see "System says 25 bottles", they are tempted to just write 25 without counting. A blind sheet forces staff to count what is really on the shelf!
3. Staff count the shelves and type the real numbers into the computer.
4. 🚨 **Big Difference Alert:** If any item is missing more than **500 Birr or 5%**, a red warning flags the item. A supervisor must recount and select the cause (*Too Heavy Portions, Theft, Unrecorded Spoilage*).

Module 4: Reading Your Reports & Numbers (The Dashboard)

Everything comes together on the **Executive Cost Control Dashboard** (`/reports/cost-control`):

4.1 The Food & Drink Summary Card

This shows **Food Cost** and **Drink Cost** side by side:

- **Target Cost % (What SHOULD have been spent):** Based strictly on the recipes of what guests bought on the cash register.
- **Actual Cost % (What was ACTUALLY used):** Based on opening stock + deliveries - closing stock.
- **The Difference (The Leak):** If Target Food Cost was 29% but Actual Food Cost was 34%, that 5% difference is lost money.
- **Potential Savings in Birr:** On 2,000,000 Birr of monthly food sales, a 5% leak means **100,000 Birr in lost cash** that vanished due to heavy portions, burnt food, or theft!

4.2 Outlet Performance Matrix

Shows how each room is operating:

- **Deliveries & Transfers In/Out:** The exact Birr value of goods flowing into and out of each kitchen and bar.
- **Stock Speed (Turnover):** How fast each store sells through its inventory.
  - *Fast Speed:* Fresh food, happy guests, money in the bank.
  - *Slow Speed:* Food sitting in the freezer getting freezer-burned, and hotel cash trapped on shelves.

4.3 ABC Money Matrix (Where is Hotel Cash Tied Up?)

Divides your hotel inventory into 3 money groups:

- **Class A (80% of your money):** Beef, steaks, expensive whiskey. *Rule: Count weekly or daily.*
- **Class B (15% of your money):** Beer crates, cheese, butter, cooking oil. *Rule: Count every 2 weeks.*
- **Class C (5% of your money):** Salt, toothpicks, paper napkins. *Rule: Buy in bulk, count once a month.*

4.4 Item History Card (The Bank Statement for Each Item)

Just like a bank statement shows every deposit and withdrawal, the Item History Card shows every movement for any ingredient:

If 5 kg of Beef Fillet goes missing between Tuesday and Wednesday, open its history card. You will see every delivery, every kitchen transfer, every dish sold on CNet, and the exact staff member logged in at each step.

Module 5: Daily Shift Checklists for Every Staff Role

ROLE	MORNING SHIFT	AFTERNOON SHIFT	CLOSING / NIGHT AUDIT
Central Storekeeper	• Weigh morning deliveries on the scale. • Enter delivery note in `/purchases`. • Check price alerts against contract.	• Fulfill and hand over pending stock requests for Kitchen and Bar. • Keep store neat and clean.	• Lock warehouse and cooler rooms. • Check items running low and prepare purchase order for tomorrow.
Executive Chef & Cooks	• Inspect walk-in cooler. • Click 1-click Par Request on `/requests` to order meat and veggies.	• Enter meat cuts on `/production`. • Cook prep batches (Injera, kibbeh, sauces).	• Record any burnt or spoiled food on `/waste`. • Do a quick evening count of high-value beef steaks.
Bar Manager & Bartenders	• Submit drink order request from Central Store on `/requests`.	• Accept crates of beer and soft drinks. • Check bottle seals and crate counts. • Record any broken bottles on `/waste`.	• Count open bottles of expensive spirits. • Lock liquor cabinet and beer cooler.
Cost Controller & GM	• Review delivery price warnings from yesterday. • Approve pending waste write-offs.	• Perform random surprise blind counts in the kitchen and bar. • Check portion scales in the kitchen.	• Upload CNet sales export on `/sales/eod`. • Deduct recipe ingredients. • Review Food & Drink Cost % Dashboard.

HOW TO RESET TO A CLEAN SLATE ANYTIME

Whenever you want to wipe out practice data and start completely fresh with zero demo articles, run this command in your computer terminal:

`npm run db:bare`

This keeps your Prime Hospitality stores and user accounts ready, with an empty database ready for your real hotel data!